

family. Two years later, Buffett wrote a check for \$2.3 billion and GEICO became a wholly owned business.

Buffett was not done. In 1998, he paid seven times the amount he had spent to buy the remaining outstanding shares of GEICO—about \$16 billion in Berkshire Hathaway stock—to acquire a reinsurance company called General Re. It was his biggest acquisition up to that date.

Over the years, Buffett has continued to buy insurance companies, but without question his smartest acquisition was a person—Ajit Jain, whom he hired to run the Berkshire Hathaway Reinsurance Group. Ajit, born in 1951, earned an engineering degree at the prestigious Indian Institutes of Technology. He worked for IBM for three years, then enrolled at Harvard to gain a business degree.

Although Ajit had no insurance background, Buffett quickly recognized his brilliance. From a starting point in 1985, Ajit built the Reinsurance Group's float (premiums earned but losses not paid) to \$34 billion in a little over 20 years. According to Buffett, Ajit “insures risks that no one else has the desire or the capital to take on. His operation combines capacity, speed, decisiveness, and most importantly, brains in a manner that is unique in the insurance business.”²² Not a day goes by without Buffett and Ajit having a conversation. To give you an idea of Ajit's value, in the 2009 Berkshire annual report, Buffett wrote, “If Charlie, I and Ajit are ever in a sinking boat—and you can only save one of us—swim to Ajit.”

The Man and His Company

Warren Buffett is not easy to describe. Physically he is unremarkable, with looks that are more grandfatherly than corporate titan. Intellectually he is considered a genius, yet his down-to-earth relationship with people is truly uncomplicated. He is simple, straightforward, forthright, and honest. He displays an engaging combination of sophisticated dry wit and cornball humor. He has a profound reverence for those things logical and a foul distaste for imbecility. He embraces the simple and avoids the complicated.

Reading his annual reports, one is struck by how comfortable Buffett is quoting the Bible, John Maynard Keynes, or Mae West. Of course the